Practice workbook · Unemployment: meaning, measurement and types

Definition of unemployment, the ILO measure and rate, and the five types (cyclical, structural, seasonal, voluntary, frictional) with their causes.

20 question parts: 1 worked-example retry and 19 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-11

1. Question 3 · part c · 3 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part c only.

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3 (a) Which **one** of the following is an advantage of pollution permits?

(1)

- ☒ **A** They encourage unlimited industrial emissions
- ☒ **B** They reduce overall pollution by setting emission limits
- ☒ **C** They allow firms to ignore environmental regulations
- ☒ **D** They discourage investment in green technologies

An economy has a national output of €300bn and its current account deficit is €15bn.

(b) What is the current account deficit as a percentage of national output?

(1)

- ☒ **A** 0.05%
- ☒ **B** 2.85%
- ☒ **C** 5%
- ☒ **D** 20%

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1. Question 3 · part c · 3 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part c only.

Data from China revealed that the unemployment rate for young people aged 16 to 24 was 14.9% in December 2023. The number of new graduates significantly exceeded the available jobs, most of which were in lower-skilled sectors.

(c) Explain **one** reason why some people might suffer from structural unemployment in a country such as China.

(3)

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1. Question 3 · part c · 3 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part c only.

Owners of small firms in the UK are very unhappy with another rise in inflation. The consumer price index (CPI) increased from 3.9% in November to 4% in December 2023.

(d) With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on menu costs for small firms in the UK.

(6)

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1. Question 3 · part c · 3 marks · Working and answer

Working and answer

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2. Question 1 · part b · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part b only.

1 (a) The increased integration and interdependence of economies is known as

(1)

- ☒ **A** privatisation
- ☒ **B** specialisation
- ☒ **C** protectionism
- ☒ **D** globalisation

(b) What is the main cause of frictional unemployment?

(1)

- ☒ **A** People choosing not to work
- ☒ **B** People having the wrong skills
- ☒ **C** People changing jobs
- ☒ **D** People employed at certain times of the year

(c) What is meant by the term interest rate?

(2)

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2. Question 1 · part b · 1 mark · Working and answer

Working and answer

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3. Question 4 · part b · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.

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4 Figure 2 shows the UK's unemployment rates for 16–64 year olds in different regional areas in December 2018.

UK regions	Unemployment rate (%)
The North of England	4.8
The Midlands	4.6
East England	4.3
London and South East	2.9
South West England	3.0

Figure 2

(Source: https://www.ons.gov.uk/employmentandlabourmarket/peopleinwork/employmentandemployeetypes/bulletins/regionallabourmarket/latest)

(a) Calculate, to **two** decimal places, the **average rate of unemployment** in the UK in December 2018. You are advised to show your working.

(2)

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3. Question 4 · part b · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) With reference to the data in **Figure 2** and your knowledge of economics, analyse **one** possible reason why rates of unemployment vary in the different regional areas of the UK.

(6)

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3. Question 4 · part b · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.

A report by accountancy firm PwC said that the UK could boost its GDP by around £40bn a year if it reduces the number of young people who are not in education, employment or training. The UK only ranks 19th out of 35 countries on this latest report, with Germany performing the best in the EU.

John Hawksworth, chief economist at PwC UK, comments, "Employers need to work with universities, schools and other educational providers to ensure young people have the skills they need for the age of automation. They also need to help in retraining older workers to adapt to these new technologies".

(c) With reference to the data above and your knowledge of economics, evaluate whether an increase in education and training is the most effective way to reduce unemployment for a country such as the UK.

(12)

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Turn over

3. Question 4 · part b · 6 marks · Working and answer

Working and answer

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4. Question 1 · part c · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

1 (a) International trade that takes place with no restrictions is known as

(1)

- ☒ **A** globalisation
- ☒ **B** protectionism
- ☒ **C** free trade
- ☒ **D** Foreign Direct Investment

(b) What is the name given to a country's exports and imports of services?

(1)

- ☒ **A** Visible trade
- ☒ **B** Invisible trade
- ☒ **C** Transfer payments
- ☒ **D** The balance of payments

(c) What is meant by the term unemployment?

(2)

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4. Question 1 · part c · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

(d) What is meant by the term trade-off?

(2)

(e) Calculate, to **two** decimal places, the **rate of unemployment** for a country which has a labour force of 72 million of which 8 million are unemployed. You are advised to show your working.

(2)

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4. Question 1 · part c · 2 marks · Working and answer

Working and answer

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5. Question 1 · part a · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

1 (a) What type of unemployment is likely to be caused by generous welfare benefits?

(1)

- ☒ **A** Seasonal
- ☒ **B** Cyclical
- ☒ **C** Voluntary
- ☒ **D** Structural

(b) What name is given to the phase in the economic cycle when consumers start to regain confidence and economic activity is on the increase?

(1)

- ☒ **A** Boom
- ☒ **B** Downturn
- ☒ **C** Recession
- ☒ **D** Recovery

(c) What is meant by the term central bank?

(2)

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5. Question 1 · part a · 1 mark · Working and answer

Working and answer

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6. Question 1 · part a · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a only.

1 (a) The International Labour Organisation (ILO) measures

(1)

- ☒ **A** inflation
- ☒ **B** unemployment
- ☒ **C** economic growth
- ☒ **D** government spending

(b) Which method of protection is used to reduce the price of exports?

(1)

- ☒ **A** Free trade
- ☒ **B** Tariffs
- ☒ **C** Subsidies
- ☒ **D** Quotas

(c) What is meant by the term gross domestic product (GDP)?

(2)

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6. Question 1 · part a · 1 mark · Working and answer

Working and answer

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7. Question 1 · part g · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

1 (a) The International Labour Organisation (ILO) measures

(1)

- ☒ **A** inflation
- ☒ **B** unemployment
- ☒ **C** economic growth
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- ☒ **D** Quotas

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(2)

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7. Question 1 · part g · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

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(d) Describe **one** positive impact of economic growth.

(2)

Consumer Price Index (CPI) was 120.4 in 2017 and it increased to 130.3 in 2018.

(e) Calculate, to two decimal places, the **rate of inflation** in 2018. You are advised to show your working.

(2)

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7. Question 1 · part g · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

(f) Using the diagram below draw and label the three stages of the economic cycle in the boxes on the diagram.

(3)

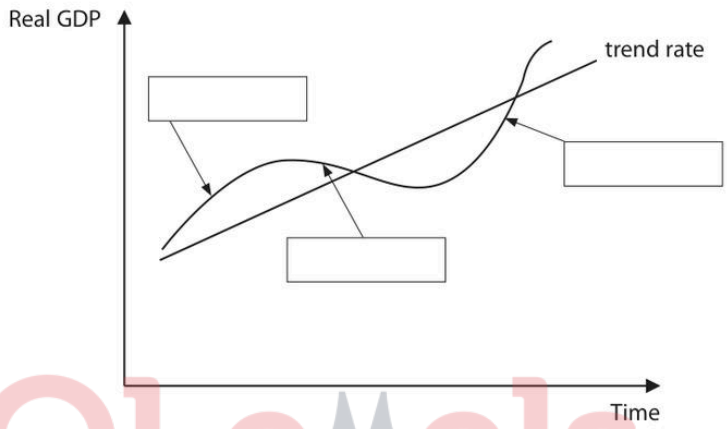


Figure 1

According to the US Labour Department, employees working in the public education sector are leaving their jobs at faster rates than ever recorded before.

(g) Explain **one** reason why some people in the education sector might choose to become voluntarily unemployed?

(3)

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P 6 2 0 3 1 A 0 4 2 4

7. Question 1 · part g · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

The World Trade Organisation (WTO) has estimated that improvements in ship containerisation have lowered sea transportation costs by over 70%. Air-freight costs have fallen by a similar amount.

(h) Analyse how the reduced cost of transport has contributed to the increase in globalisation.

(6)

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7. Question 1 · part g · 3 marks · Working and answer

Working and answer

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8. Question 1 · part a · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part a only.

1 (a) Which type of unemployment occurs when the demand for a product is only at certain times of the year?

(1)

- ☒ **A** Structural
- ☒ **B** Cyclical
- ☒ **C** Seasonal
- ☒ **D** Voluntary

(b) Which **one** of the following terms refers to a tax on imported goods?

(1)

- ☒ **A** Subsidy
- ☒ **B** Tariff
- ☒ **C** Fine
- ☒ **D** Pollution permit

(c) What is meant by the term recession?

(2)

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8. Question 1 · part a · 1 mark · Working and answer

Working and answer

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9. Question 1 · part a · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

1 (a) Which **one** of the following is an example of cyclical unemployment?

(1)

- ☒ **A** Factory workers lose their jobs as more machines are used
- ☒ **B** Hotels employ fewer workers in the winter months
- ☒ **C** Workers are waiting to start a new job
- ☒ **D** An airline cuts jobs during a global recession

(b) A decrease in the exchange rate caused by government intervention is known as

(1)

- ☒ **A** depreciation
- ☒ **B** devaluation
- ☒ **C** revaluation
- ☒ **D** appreciation

(c) What is meant by the term exports?

(2)

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9. Question 1 · part a · 1 mark · Working and answer

Working and answer

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10. Question 2 · part c · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part c only.

2 (a) Globalisation results in increasing

(1)

- ☒ **A** levels of debt for all national economies
- ☒ **B** protectionism amongst national economies
- ☒ **C** amounts of legislation for national economies
- ☒ **D** integration and interdependence of national economies

(b) Which **one** of the following is a possible impact of economic growth?

(1)

- ☒ **A** An increase in unemployment
- ☒ **B** An increase in environmental damage
- ☒ **C** A reduction in investment
- ☒ **D** A reduction in tax revenues

(c) State **one** type of unemployment. (1)

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(d) What is meant by the term recovery? (2)

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10. Question 2 · part c · 1 mark · Working and answer

Working and answer

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11. Question 1 · part a · 1 mark

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part a only.

1 (a) What does the International Labour Organisation (ILO) measure?

(1)

- ☒ **A** Economic growth
- ☒ **B** Unemployment
- ☒ **C** Government spending
- ☒ **D** Inflation

(b) Which **one** of the following is considered to be a progressive tax in the UK?

(1)

- ☒ **A** Income tax
- ☒ **B** Value added tax (VAT)
- ☒ **C** Excise duties
- ☒ **D** Import tariff

(c) What is meant by the term deregulation?

(2)

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11. Question 1 · part a · 1 mark · Working and answer

Working and answer

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12. Question 2 · part a · 1 mark

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part a only.

2 (a) Which type of unemployment would result from the permanent closure of a coal mine?

(1)

- ☒ **A** Seasonal
- ☒ **B** Voluntary
- ☒ **C** Structural
- ☒ **D** Cyclical

(b) What would be the annual amount of interest earned on £7 000 of savings if the interest rate was 3% per annum?

(1)

- ☒ **A** £21
- ☒ **B** £210
- ☒ **C** £2 333
- ☒ **D** £7 210

(c) State **one** advantage of free trade.

(1)

(d) What is meant by the term pollution permits?

(2)

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12. Question 2 · part a · 1 mark · Working and answer

Working and answer

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13. Question 1 · part g · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part g only.

1 (a) Which **one** of the following is a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Writing off debts
- ☒ **B** Settling trade disputes
- ☒ **C** Increasing trade barriers
- ☒ **D** Paying subsidies to producers

(b) Which **one** of the following is an example of a supply-side policy to increase output?

(1)

- ☒ **A** Increasing income tax
- ☒ **B** Increasing interest rates
- ☒ **C** Increasing the school-leaving age
- ☒ **D** Increasing business taxes

(c) What is meant by the term economies of scale?

(2)

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13. Question 1 · part g · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part g only.

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(d) Describe **one** advantage of free trade for consumers.

(2)

Figure 1 shows the income tax rates for the UK in 2020–2021. Sofia earns £35 000 as a teacher. This means Sofia only pays 20% tax on £22 500 of her salary.

Taxable income	Tax rate (%)
0 to £12 500	0%
£12 501 to £50 000	20%
£50 001 to £150 000	40%
Over £150 000	45%

Figure 1

(Source: https://www.gov.uk/income-tax-rates)

(e) Calculate the **net pay** in £ for Sofia. You are advised to show your working.

(2)

13. Question 1 · part g · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part g only.

In May 2020, China introduced a tariff of 80% on Australian barley.

(f) Using the diagram below, draw the effects of the introduction of a tariff on the equilibrium price and quantity of Australian barley. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

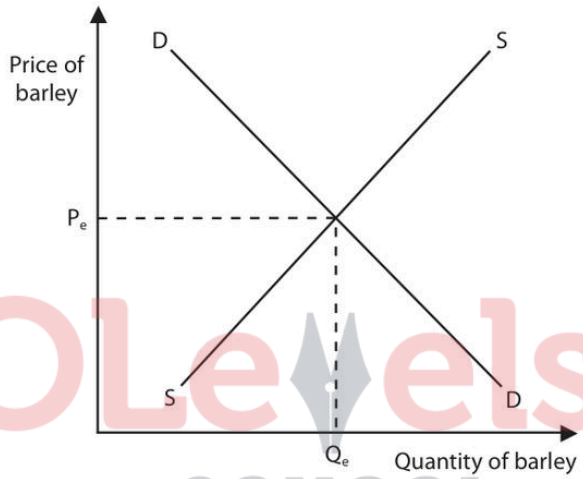


Figure 2

Tourism is a major sector in the French economy. It employs around 2 million people, both directly and indirectly.

(g) Explain **one** reason why some people in the tourism sector might suffer from seasonal unemployment in a country such as France.

(3)

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13. Question 1 · part g · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part g only.

In December 2020, Australia had a current account surplus of $18.1bn, a rise of $4.4bn on the previous quarter.

(h) Analyse the benefits of a current account surplus for a country such as Australia.

(6)

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(Total for Question 1 = 20 marks)

13. Question 1 · part g · 3 marks · Working and answer

Working and answer

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14. Question 1 · part b · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part b only.

1 (a) Which **one** of the following describes the recovery phase of the economic cycle?

(1)

- ☒ **A** GDP is growing at its fastest and business activity increases
- ☒ **B** GDP starts to rise and economic activity is on the increase
- ☒ **C** GDP is still growing but more slowly
- ☒ **D** GDP falls for two successive quarters

(b) Which **one** of the following is an example of frictional unemployment?

(1)

- ☒ **A** A bank cuts jobs during a global recession
- ☒ **B** Workers are unemployed whilst waiting to start a new job
- ☒ **C** Fewer workers are employed on fruit farms in the winter months
- ☒ **D** Factory workers lose their jobs as more machines are used

(c) What is meant by the term exports?

(2)

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14. Question 1 · part b · 1 mark · Working and answer

Working and answer

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15. Question 2 · part d · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

2 (a) What is the main reason for a government to devalue its currency?

(1)

- ☒ **A** To increase the demand for its exports
- ☒ **B** To decrease the demand for its exports
- ☒ **C** To increase the demand for imports
- ☒ **D** To decrease foreign investment

(b) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** An increase in tariffs and quotas
- ☒ **B** An increase in the cost of transport
- ☒ **C** An increase in the significance of MNCs
- ☒ **D** An increase in the cost of communication

(c) State **one** possible macroeconomic objective for a government.

(1)

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(d) What is meant by the term seasonal unemployment?

(2)

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15. Question 2 · part d · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

In 2022, Vietnam's economy grew by 8.02%, exceeding its annual target of 6.5%.

(e) Explain **one** reason why rapid economic growth may be harmful for an economy such as Vietnam.

(3)

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15. Question 2 · part d · 2 marks · Working and answer

Working and answer

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16. Question 1 · part b · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

1 (a) Which **one** of the following is a disadvantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Developing capital
- ☒ **B** Investing in infrastructure
- ☒ **C** Creating jobs
- ☒ **D** Environmental damage

(b) Which **one** of the following describes voluntary unemployment?

(1)

- ☒ **A** Unemployment caused by a lack of demand for a particular skill
- ☒ **B** Unemployment caused by changes in the business cycle
- ☒ **C** Unemployment caused by individuals choosing not to work
- ☒ **D** Unemployment caused by seasonal fluctuations in the demand for labour

(c) What is meant by the term monetary policy?

(2)

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16. Question 1 · part b · 1 mark · Working and answer

Working and answer

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17. Question 2 · part a · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

2 (a) Which **one** of the following is the calculation for the rate of unemployment in a country?

(1)

- ☒ **A** Total labour force/Total population × 100
- ☒ **B** Number of unemployed/Total labour force × 100
- ☒ **C** Number of employed/Total labour force × 100
- ☒ **D** Total unemployment/Total population × 100

(b) Which **one** of the following describes a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Help with trade negotiations
- ☒ **B** Regulates multinational corporations
- ☒ **C** Provides financial assistance to developing countries
- ☒ **D** Stabilises exchange rates

(c) State **one** possible reason for a current account surplus.

(1)

(d) What is meant by the term relative poverty?

(2)

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17. Question 2 · part a · 1 mark · Working and answer

Working and answer

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18. Question 2 · part b · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part b only.

2 (a) What is the likely impact of lower transport and communication costs on an economy?

(1)

- ☒ **A** Increased unemployment
- ☒ **B** Decreased international trade
- ☒ **C** Increased economic growth
- ☒ **D** Decreased consumer spending

(b) Which **one** of the following types of unemployment is caused by changes in the business cycle?

(1)

- ☒ **A** Structural
- ☒ **B** Seasonal
- ☒ **C** Frictional
- ☒ **D** Cyclical

(c) State **one** possible impact of a current account deficit.

(1)

(d) What is meant by the term fines?

(2)

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18. Question 2 · part b · 1 mark · Working and answer

Working and answer

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19. Question 2 · part g · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

2 (a) Which **one** of the following is a rise in the value of an exchange rate in a floating exchange rate system?

(1)

- ☒ **A** Appreciation
- ☒ **B** Depreciation
- ☒ **C** Revaluation
- ☒ **D** Devaluation

(b) Which **one** of the following is a reason why there is protection for international trade?

(1)

- ☒ **A** To allow dumping
- ☒ **B** To promote free trade
- ☒ **C** To protect domestic jobs
- ☒ **D** To increase the current account deficit

(c) State **one** possible impact of globalisation on consumers.

(1)

(d) What is meant by the term asset purchasing?

(2)

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19. Question 2 · part g · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

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In China there are restrictions on coal consumption and emissions from factories. These restrictions have led to job losses in some industries.

(e) Explain **one** reason why there might be a trade-off between economic growth and environmental protection for an economy such as China.

(3)

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19. Question 2 · part g · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

Figure 3 shows the supply of and demand for UK pounds (£) and the equilibrium exchange rate against the US dollar ($).

(f) Using the diagram below, draw the likely effect of a decrease in imports from the US on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

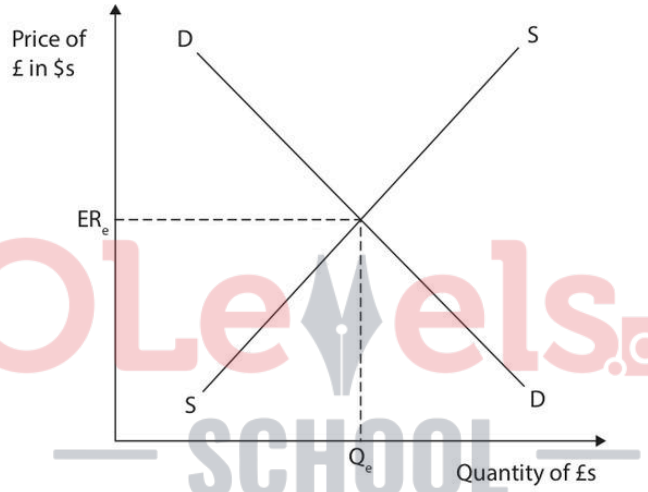


Figure 3

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P 7 5 9 5 5 A 0 1 0 2 8

19. Question 2 · part g · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

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ChatGPT is the latest example of artificial intelligence (AI)* technology. There are increased concerns that AI will cause the loss of jobs for millions of workers. This includes Wall Street traders, salespeople, writers of basic computer code and journalists.

IBM has stopped recruiting for 7,800 jobs that could be eventually replaced by AI. British Telecom (BT) predicted that AI would replace 10,000 jobs by 2030.

**The use of computer systems to perform tasks normally undertaken by humans.*

(g) With reference to the data above and your knowledge of economics, assess the possible impact of the introduction of AI on the levels of structural unemployment.

(9)

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19. Question 2 · part g · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

19. Question 2 · part g · 9 marks · Working and answer

Working and answer

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20. Question 1 · part a · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

1 (a) Which **one** of the following is an example of seasonal unemployment?

(1)

- ☒ **A** A farm worker having no work due to automation
- ☒ **B** A construction worker not finding work during the monsoon period
- ☒ **C** A skilled worker unable to find employment due to a recession
- ☒ **D** A person choosing not to work and being paid welfare benefits

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An increase in consumer demand for goods and services
- ☒ **B** A decrease in taxes on business profits
- ☒ **C** An increase in the prices of raw materials paid by producers
- ☒ **D** A decrease in interest rates set by the central bank

(c) What is meant by the term current account deficit?

(2)

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20. Question 1 · part a · 1 mark · Working and answer

Working and answer

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